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Investor Presentation | Asia Pacific

# China Financials: High-quality development more sustainable for the financial system in China

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## High-quality Development More Sustainable for the Financial System in China

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Despite some divergence among major economic data and volatility in recent months, we believe a high-quality development approach without significant stimulus better supports a more sustainable financial system in China.

More evidence of an earlier-than-expected positive loop for China Financials:

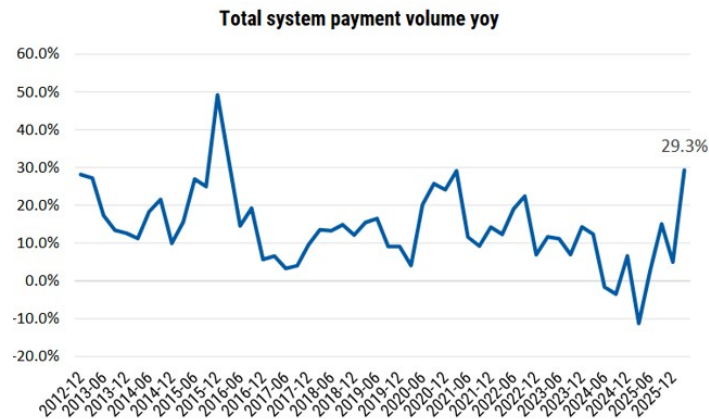
- Strong export growth supported by tech and industrial upgrades, offsetting risks from prior stimulus;
- Gradually easing PPI pressure with improving industrial profitability;
- Strong growth in household financial assets, alongside a recovery in consumption payment;
- Moderating TSF growth amid support from government bonds and more rational loan growth.

We expect an earlier-than-expected NIM rebound, more reasonable balance sheet growth, healthy fee income growth, and lower credit cost assumptions over the coming years for China's banks. This should support revenue and earnings growth, as well as steady performance among China's banks.

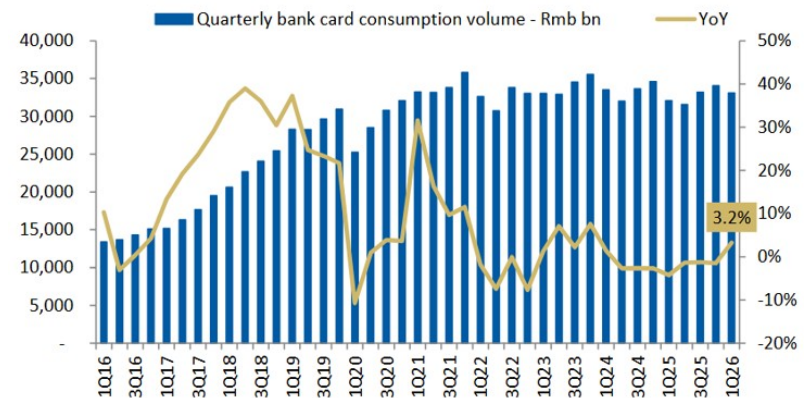
[China Financials: Earlier-than-expected NIM rebound and decline in overcapacity risk \(25 May 2026\)](#)

## Healthy 1Q26 Payment Data

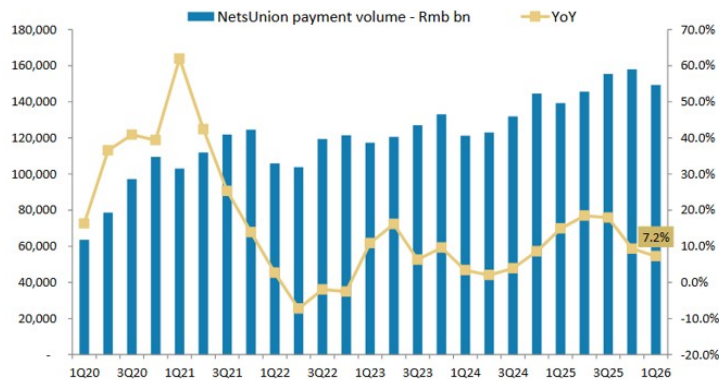
**Total system payment volume picked up 29% YoY in 1Q26 vs 5% in 4Q25**



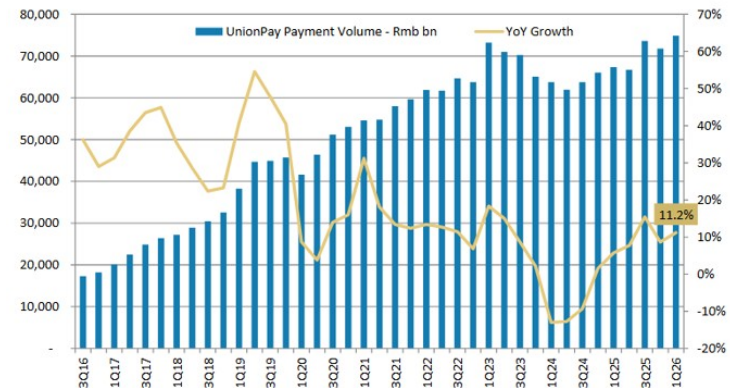
**Bank card consumption growth turned positive, up 3.2% YoY, vs a decline in 2025**



**UnionPay payment growth rebounded from 4Q, up 11.2% YoY...**



**...while NetsUnion payment growth slightly moderated to 7.2% YoY**



Source: PBOC, CEIC, Morgan Stanley Research.

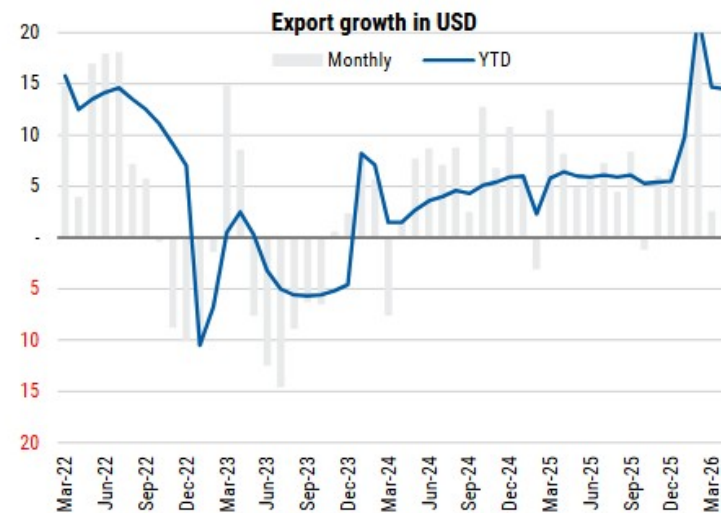
## Solid Export Growth Aided by Tech and Industrial Upgrades

- Nominal GDP growth improved notably in 1Q26 to 4.9% YoY, supported by strong export growth and PPI returning to positive levels.
- Despite some volatility in March, YTD export growth remained strong at 14.5% YoY in April, which supported production recovery.

**Nominal GDP growth improved notably in 1Q26**



**YTD export growth remained strong at 14.5% YoY in April**

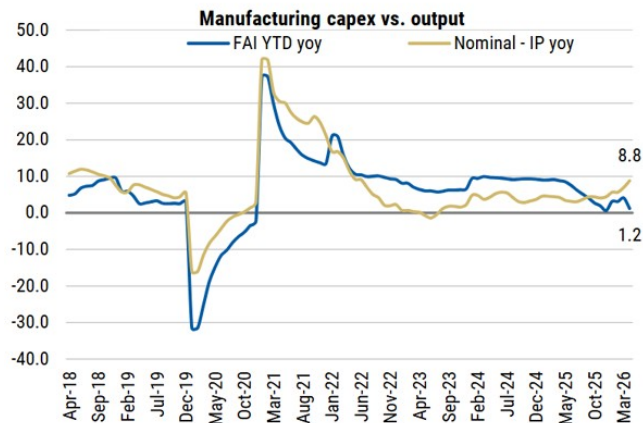


Source: NBS, CEIC, Morgan Stanley Research.

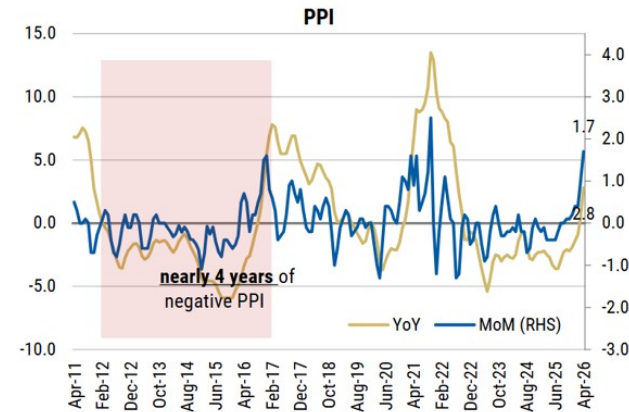
## Industrial: Still Healthy Profit Growth and Reduction of Overcapacity Risks Despite Slower Headline Macro Numbers

- April YTD manufacturing FAI growth dropped to 1.2% from 4.1% YoY in March from a high base last year.
- YTD manufacturing profit growth accelerated further to 20.4% YoY in April 2026.
- Overall gross margin improved 6bps YoY, helped by both PPI rebound and cost control.

**Manufacturing FAI and IP gap declined to -7.6%, from -2.8% in April, with lower FAI growth**



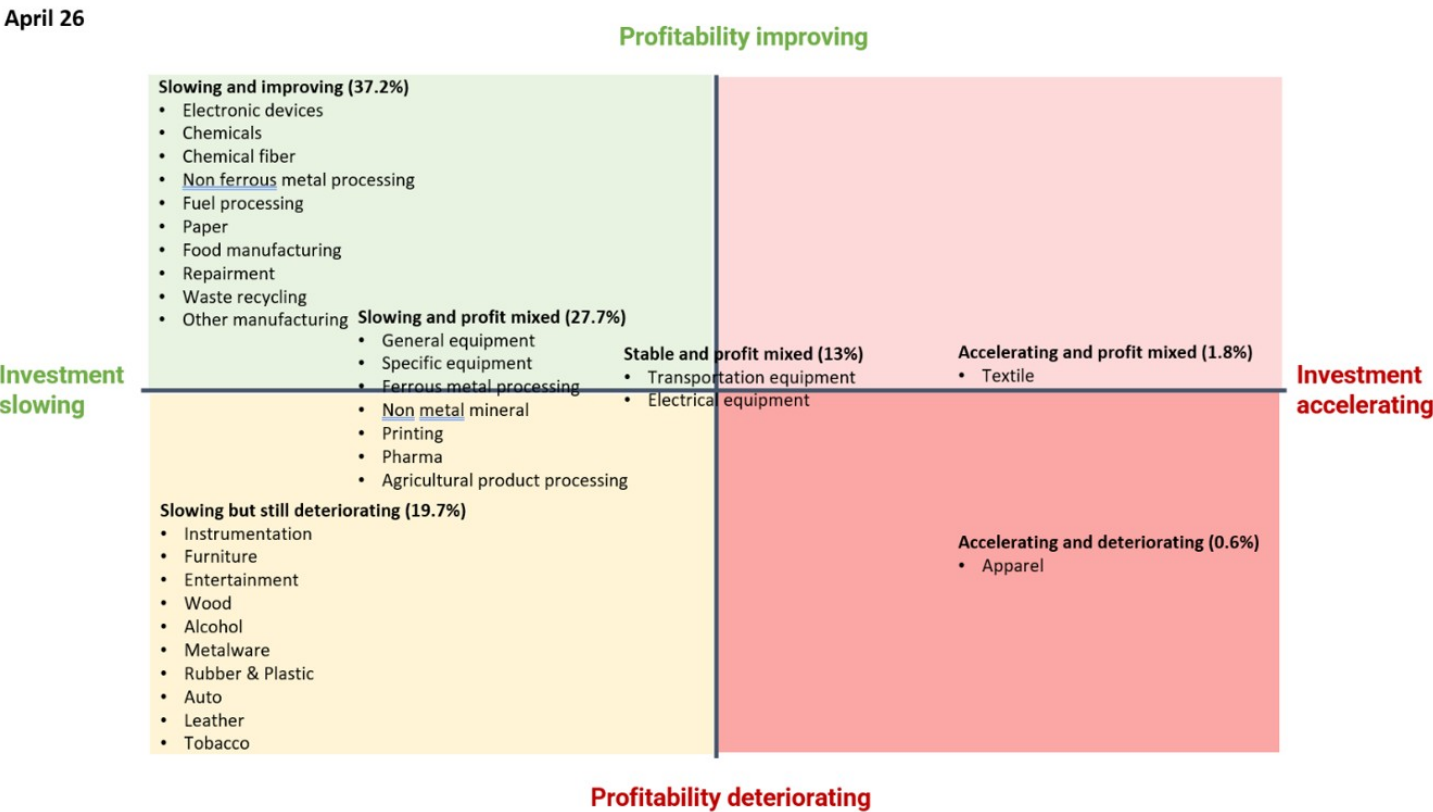
**Strong PPI growth at 1.7% MoM and 2.8% YoY**



Source: NBS, CEIC, Morgan Stanley Research.

# Industrial: By-sector Data Showed Better Trends in Apr-26 vs 1H24

- 84.5% (in terms of liabilities) of sectors slowed capex in April 2026 vs. 1H24; 37.2% of sectors showed better profit trends in April.



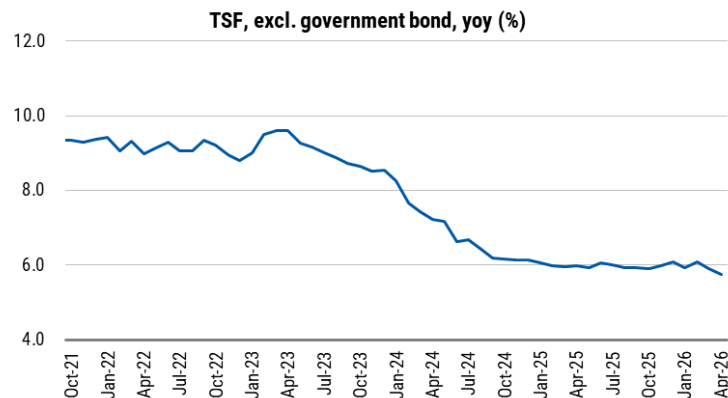
Note: number in () represents their mix in total manufacturing liabilities

Source: NBS, CEIC, Morgan Stanley Research.

## Moderating TSF, Enough to Support Business Activities Rebound

- TSF growth continued to moderate in April, to 7.8% YoY, of which Rmb loan growth further slowed to 5.6% YoY.
- Government bonds were still the main support, up 15.6% YoY.
- Rmb loans declined Rmb401bn in April 2026 (vs. an Rmb88bn increase last year), suggesting more rational loan growth besides seasonality after quarter-end.

**Total TSF (ex government bonds) has slowed to below 6% in April 2026, vs >9% even in 2021**



**RMB loan growth further moderated to 5.6% YoY in April 2026**

| Total Social Financing              | Balance        |       |                |       |
|-------------------------------------|----------------|-------|----------------|-------|
|                                     | April-26       |       | March-26       |       |
|                                     | Rmb bn         | YoY   | Rmb bn         | YoY   |
| <b>Total Social Financing</b>       | <b>456,890</b> | 7.8%  | <b>456,460</b> | 7.9%  |
| Loans in RMB                        | 276,900        | 5.6%  | 277,300        | 5.8%  |
| Loans in FX                         | 1,130          | -4.2% | 1,120          | -5.9% |
| Entrusted loans                     | 11,230         | -0.1% | 11,250         | 0.1%  |
| Trust loans                         | 4,670          | 7.4%  | 4,680          | 7.6%  |
| Undiscounted bankers' acceptance    | 2,200          | -7.9% | 2,730          | 2.2%  |
| Corporate bond                      | 35,520         | 8.3%  | 35,160         | 7.9%  |
| Government bond                     | 99,370         | 15.6% | 98,470         | 15.9% |
| Non-fin enterprise equity financing | 12,400         | 4.6%  | 12,310         | 4.1%  |

Source: PBOC, CEIC, Morgan Stanley Research.

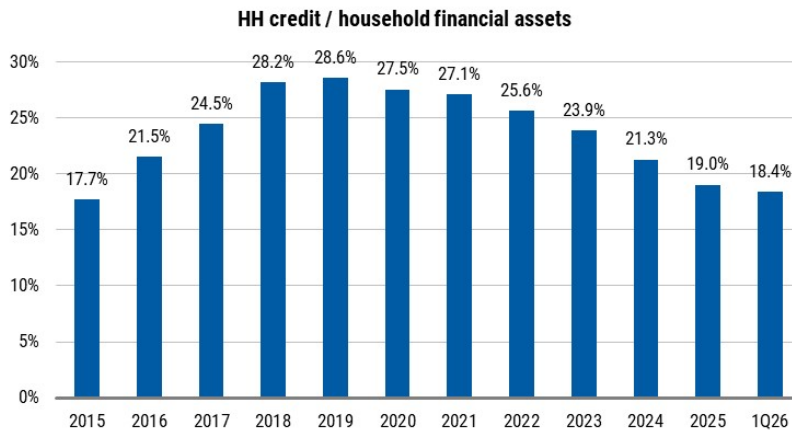
## Household Financial Assets Growth Remained Solid

- Household financial assets grew >12% YoY in 2024 and 2025 and remained high at 10.8% YoY in 1Q26.
- Retail credit growth has trended below GDP growth, with moderating household leverage. Overall retail credit growth was <2% per year from 2022 to 2024, and it declined in 2025, even though income growth stayed positive in 2024, at 4-5%.

### Household financial assets increased 10.8% YoY in 1Q26



### Household leverage continued to decline amid strong financial asset growth



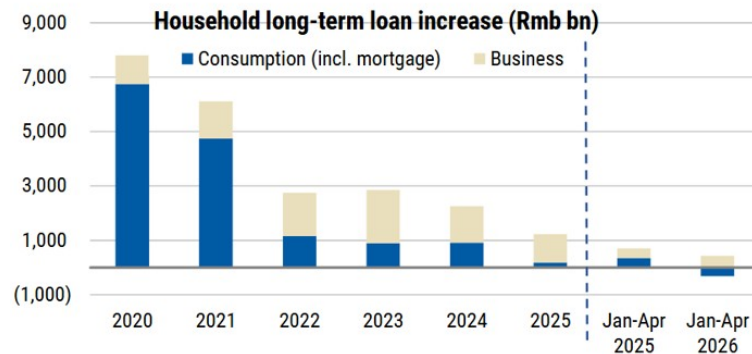
Source: CEIC, WIND, PBOC, SSE, Trust Association, AMAC, NFRA, China Bank Association, Morgan Stanley Research.



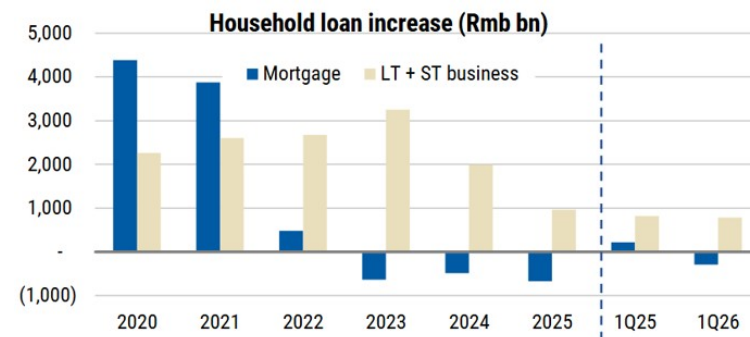
## No More Quantitative Target for Inclusive SME Loans

- The 2026 NFAR Notice on inclusive financing removed the quantitative growth target as well as the push for reducing comprehensive financing cost for SMEs. It put more emphasis on a fair competitive environment, as well as a stratified and differentiated SME loan market.
- We view it as **another milestone policy change that removes one of the last non-market-oriented policy guidance**. Since its inception in 2021, we have viewed the strict policy guidance on inclusive SME loans on both volume growth and pricing as one of the most non-market-oriented policies, which not only contributed to the last leg of the property bubble in 2021, but also led to distortion in credit allocation.

### The net increase in household (HH) long-term business loan was smaller in 2024 and 2025...



### ..so was the sum of long-term and short-term HH business loans



Source: PBOC, CEIC, Morgan Stanley Research.

## We Recently Raised Our Earnings Estimates for China's Major Banks

- We expect NIM to stabilize in 2026 and rebound in 2027, following the better-than-expected 1Q26 trend.
- We expect continued recovery in fee income growth and reduced pressure on investment income in 2026 through 2028.
- We expect a relatively stable asset quality amid more notable progress made on industrial risk digestion, despite persistent retail risks.

**We raise our NPAT growth forecast for major banks (2026 and 2027) to factor in quicker NIM rebound and lower-than-expected credit risk with some mix adjustments for mid-sized banks**

| Rmb mn         | 2025           | 2026E          | 2027E          | 2028E          | YoY<br>2025 | YoY<br>2026E | YoY<br>2027E | YoY<br>2028E | vs Published<br>2025E | vs Published<br>2026E | vs Published<br>2027E |
|----------------|----------------|----------------|----------------|----------------|-------------|--------------|--------------|--------------|-----------------------|-----------------------|-----------------------|
| <b>NPAT</b>    |                |                |                |                |             |              |              |              |                       |                       |                       |
| ICBC           | 368,562        | 387,170        | 409,194        | 433,434        | 0.7%        | 5.0%         | 5.7%         | 5.9%         | 0.0%                  | 0.9%                  | 1.5%                  |
| CCB            | 338,906        | 357,365        | 377,786        | 400,226        | 1.0%        | 5.4%         | 5.7%         | 5.9%         | 0.0%                  | 1.7%                  | 3.4%                  |
| ABC            | 291,041        | 302,595        | 318,278        | 337,905        | 3.2%        | 4.0%         | 5.2%         | 6.2%         | 1.7%                  | 2.1%                  | 2.4%                  |
| BOC            | 243,021        | 252,513        | 265,722        | 282,012        | 2.2%        | 3.9%         | 5.2%         | 6.1%         | 1.1%                  | 2.3%                  | 3.6%                  |
| BoCom          | 95,622         | 98,573         | 101,911        | 106,532        | 2.2%        | 3.1%         | 3.4%         | 4.5%         | 0.9%                  | 2.1%                  | 2.8%                  |
| CMB            | 150,181        | 154,774        | 162,698        | 173,211        | 1.2%        | 3.1%         | 5.1%         | 6.5%         | 0.3%                  | -0.7%                 | -3.2%                 |
| Citic          | 70,618         | 74,942         | 80,954         | 87,531         | 3.0%        | 6.1%         | 8.0%         | 8.1%         | 0.1%                  | -1.2%                 | -2.8%                 |
| Minsheng       | 30,563         | 30,713         | 33,176         | 38,085         | -5.4%       | 0.5%         | 8.0%         | 14.8%        | -5.4%                 | -9.8%                 | -12.5%                |
| CRCB           | 12,128         | 12,671         | 13,269         | 14,021         | 5.3%        | 4.5%         | 4.7%         | 5.7%         | 2.0%                  | 1.9%                  | 1.6%                  |
| Ningbo         | 29,333         | 32,944         | 37,712         | 43,339         | 8.1%        | 12.3%        | 14.5%        | 14.9%        | 0.0%                  | 0.6%                  | 0.1%                  |
| Hangzhou       | 19,029         | 21,170         | 23,349         | 25,776         | 12.1%       | 11.2%        | 10.3%        | 10.4%        | -1.1%                 | 0.0%                  | 0.0%                  |
| Industrial     | 77,469         | 82,062         | 88,632         | 94,802         | 0.3%        | 5.9%         | 8.0%         | 7.0%         | -1.1%                 | -1.6%                 | -2.1%                 |
| PAB            | 42,633         | 44,112         | 46,686         | 49,712         | -4.2%       | 3.5%         | 5.8%         | 6.5%         | 0.0%                  | -0.5%                 | 0.0%                  |
| CEB            | 38,826         | 38,758         | 40,919         | 43,326         | -6.9%       | -0.2%        | 5.6%         | 5.9%         | -6.1%                 | -6.9%                 | -6.5%                 |
| SPDB           | 50,017         | 52,202         | 56,047         | 60,266         | 10.5%       | 4.4%         | 7.4%         | 7.5%         | 1.1%                  | -3.7%                 | -5.8%                 |
| Huaxia         | 27,200         | 27,448         | 28,071         | 29,029         | -1.7%       | 0.9%         | 2.3%         | 3.4%         | 1.7%                  | 1.0%                  | -2.9%                 |
| PSBC           | 87,404         | 90,636         | 96,479         | 102,772        | 1.1%        | 3.7%         | 6.4%         | 6.5%         | 0.8%                  | 0.0%                  | 0.0%                  |
| Chengdu        | 13,283         | 14,130         | 15,405         | 16,826         | 3.3%        | 6.4%         | 9.0%         | 9.2%         | 0.0%                  | -0.6%                 | -1.5%                 |
| Beijing        | 20,086         | 20,444         | 21,209         | 22,241         | -23.7%      | 1.8%         | 3.7%         | 4.9%         | -23.4%                | -24.2%                | -23.6%                |
| <b>Average</b> | <b>105,575</b> | <b>110,275</b> | <b>116,710</b> | <b>124,266</b> | <b>0.6%</b> | <b>4.5%</b>  | <b>6.5%</b>  | <b>7.4%</b>  | <b>-1.4%</b>          | <b>-1.9%</b>          | <b>-2.4%</b>          |

Source: Company data, Morgan Stanley Research (E) estimates.

## Investment Ideas

- **Bank of Ningbo** remains our Top Pick, delivering double-digit loan and profit growth, supported by market share gains, more rational competition, and strong product and service capabilities.
- Among SOE banks, we prefer **BOC-H** and **CCB-H**, given stable profit growth, still-attractive dividend yield (5.3%-5.4% for 2026E) and lower uncertainty in dilution from potential capital injection.
- We also favor **Industrial Bank** and **CITIC Bank-H**, given attractive dividends, healthy profit growth, and moderation in national team selling.
- We continue to expect **Minsheng** to perform well over the medium term, supported by an improving core client franchise and a low valuation.

Source: Morgan Stanley Research estimates. Note: Closing prices as of June 8, 2026.

|                |           | Rating | Price target        | Last close        | Upside        |
|----------------|-----------|--------|---------------------|-------------------|---------------|
| <b>H share</b> |           |        | (HKD)               | (HKD)             |               |
| ABC            | 1288.HK   | OW     | 7.40                | 5.82              | 27%           |
| ICBC           | 1398.HK   | OW     | 8.70                | 6.93              | 26%           |
| CCB            | 0939.HK   | OW     | 11.30               | 8.76              | 29%           |
| BOC            | 3988.HK   | OW     | 6.70                | 5.36              | 25%           |
| PSBC           | 1658.HK   | OW     | 6.30                | 5.02              | 25%           |
| CMB            | 3968.HK   | OW     | 60.40               | 48.16             | 25%           |
| CITIC          | 0998.HK   | OW     | 10.30               | 7.63              | 35%           |
| Minsheng       | 1988.HK   | OW     | 5.30                | 3.41              | 55%           |
| BoCom          | 3328.HK   | UW     | 6.50                | 7.43              | -13%          |
| Everbright     | 6818.HK   | UW     | 2.70                | 3.21              | -16%          |
| CRCB           | 3618.HK   | UW     | 5.10                | 6.46              | -21%          |
|                |           |        | <b>Price target</b> | <b>Last close</b> | <b>Upside</b> |
| <b>A share</b> |           |        | (RMB)               | (RMB)             |               |
| PingAn         | 000001.SZ | OW     | 15.30               | 11.03             | 39%           |
| Minsheng       | 600016.SS | OW     | 5.20                | 3.55              | 46%           |
| Industrial     | 601166.SS | OW     | 26.40               | 18.54             | 42%           |
| CMB            | 600036.SS | OW     | 53.00               | 38.50             | 38%           |
| Ningbo         | 002142.SZ | OW     | 48.30               | 31.01             | 56%           |
| Chengdu        | 601838.SS | OW     | 26.70               | 18.97             | 41%           |
| ABC            | 601288.SS | EW     | 7.20                | 6.57              | 10%           |
| ICBC           | 601398.SS | EW     | 8.50                | 7.50              | 13%           |
| CCB            | 601939.SS | EW     | 11.00               | 10.33             | 6%            |
| BOC            | 601988.SS | EW     | 6.50                | 6.14              | 6%            |
| CITIC          | 601998.SS | EW     | 10.00               | 7.69              | 30%           |
| SPDB           | 600000.SS | EW     | 10.90               | 9.37              | 16%           |
| Beijing        | 601169.SS | EW     | 6.20                | 5.12              | 21%           |
| Hangzhou       | 600926.SS | EW     | 18.90               | 16.13             | 17%           |
| BoCom          | 601328.SS | UW     | 6.30                | 6.86              | -8%           |
| Everbright     | 601818.SS | UW     | 2.60                | 3.12              | -17%          |
| Hua Xia        | 600015.SS | UW     | 6.10                | 6.79              | -10%          |

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## Global Stock Ratings Distribution

(as of May 31, 2026)

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| Stock Rating Category | Coverage Universe |            | Investment Banking Clients (IBC) |                |                      | Other Material Investment Services Clients (MISC) |                       |
|-----------------------|-------------------|------------|----------------------------------|----------------|----------------------|---------------------------------------------------|-----------------------|
|                       | Count             | % of Total | Count                            | % of Total IBC | % of Rating Category | Count                                             | % of Total Other MISC |
| Overweight/Buy        | 1542              | 42%        | 465                              | 51%            | 30%                  | 707                                               | 43%                   |
| Equal-weight/Hold     | 1571              | 43%        | 369                              | 40%            | 23%                  | 723                                               | 44%                   |
| Not-Rated/Hold        | 3                 | 0%         | 0                                | 0%             | 0%                   | 1                                                 | 0%                    |
| Underweight/Sell      | 551               | 15%        | 86                               | 9%             | 16%                  | 201                                               | 12%                   |
| Total                 | 3,667             |            | 920                              |                |                      | 1632                                              |                       |

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

## Analyst Stock Ratings

Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Equal-weight (E). The stock's total return is expected to be in line with the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Not-Rated (NR). Currently the analyst does not have adequate conviction about the stock's total return relative to the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Underweight (U). The stock's total return is expected to be below the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

## Analyst Industry Views

Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.

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Cautious (C): The analyst views the performance of his or her industry coverage universe over the next 12-18 months with caution vs. the relevant broad market benchmark, as indicated below.

Benchmarks for each region are as follows: North America - S&P 500; Latin America - relevant MSCI country index or MSCI Latin America Index; Europe - MSCI Europe; Japan - TOPIX; Asia - relevant MSCI country index or MSCI sub-regional index or MSCI

AC Asia Pacific ex Japan Index.

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## INDUSTRY COVERAGE: China Financials

| COMPANY (TICKER)                                 | RATING (AS OF) | PRICE* (06/08/2026) |
|--------------------------------------------------|----------------|---------------------|
| <b>Chiyao Huang</b>                              |                |                     |
| China International Capital Corp. Ltd. (3908.HK) | O (02/28/2025) | HK\$18.63           |
| China Merchants Securities Co Ltd (600999.SS)    | U (09/29/2022) | Rmb16.90            |
| China Merchants Securities Co Ltd (6099.HK)      | U (10/29/2024) | HK\$14.84           |
| CITIC Securities Co. (6030.HK)                   | E (10/29/2024) | HK\$24.94           |
| CITIC Securities Co. (600030.SS)                 | O (08/07/2025) | Rmb25.43            |
| East Money Information Co Ltd (300059.SZ)        | E (09/19/2025) | Rmb17.72            |
| Futu Holdings Ltd (FUTU.O)                       | O (11/18/2024) | US\$91.08           |
| Galaxy Securities (6881.HK)                      | E (02/27/2020) | HK\$7.52            |
| Galaxy Securities (601881.SS)                    | U (09/29/2022) | Rmb11.86            |
| GF Securities (000776.SZ)                        | E (08/07/2025) | Rmb18.65            |
| GF Securities (1776.HK)                          | E (01/06/2023) | HK\$15.75           |
| HTSC (601688.SS)                                 | E (09/23/2024) | Rmb18.74            |
| HTSC (6886.HK)                                   | E (09/23/2024) | HK\$16.30           |
| <b>Richard Xu, CFA</b>                           |                |                     |
| Agricultural Bank of China Limited (601288.SS)   | E (05/07/2019) | Rmb6.57             |
| Agricultural Bank of China Limited (1288.HK)     | O (10/19/2020) | HK\$5.82            |
| Bairong Inc. (6608.HK)                           | E (09/09/2025) | HK\$5.45            |
| Bank of Beijing Co Ltd (601169.SS)               | E (08/17/2022) | Rmb5.12             |
| Bank of Chengdu Co Ltd (601838.SS)               | O (08/17/2022) | Rmb18.97            |
| Bank of China Limited (601988.SS)                | E (05/07/2019) | Rmb6.14             |
| Bank of China Limited (3988.HK)                  | O (01/10/2020) | HK\$5.36            |
| Bank of Communications (3328.HK)                 | U (05/20/2022) | HK\$7.43            |
| Bank of Communications (601328.SS)               | U (09/05/2014) | Rmb6.86             |
| Bank of Hangzhou Co Ltd (600926.SS)              | E (08/17/2022) | Rmb16.13            |
| Bank of Ningbo Co. Ltd (002142.SZ)               | O (08/17/2022) | Rmb31.01            |
| China CITIC Bank Corporation Limited (601998.SS) | E (04/16/2025) | Rmb7.69             |
| China CITIC Bank Corporation Limited (0998.HK)   | O (04/16/2025) | HK\$7.63            |
| China Construction Bank Corp. (0939.HK)          | O (10/11/2012) | HK\$8.76            |
| China Construction Bank Corp. (601939.SS)        | E (05/07/2019) | Rmb10.33            |
| China Everbright Bank Co Ltd (6818.HK)           | U (05/12/2023) | HK\$3.21            |
| China Everbright Bank Co Ltd (601818.SS)         | U (05/20/2022) | Rmb3.12             |



|                                                     |                |           |
|-----------------------------------------------------|----------------|-----------|
| China Merchants Bank (600036.SS)                    | O (01/07/2019) | Rmb38.50  |
| China Merchants Bank (3968.HK)                      | O (09/20/2018) | HK\$48.16 |
| China Minsheng Banking Corp. (600016.SS)            | O (08/28/2025) | Rmb3.55   |
| China Minsheng Banking Corp. (1988.HK)              | O (05/12/2023) | HK\$3.41  |
| Chongqing Rural Commercial Bank (3618.HK)           | U (05/12/2023) | HK\$6.46  |
| Hua Xia Bank (600015.SS)                            | U (06/30/2015) | Rmb6.79   |
| Industrial and Commercial Bank of China (1398.HK)   | O (08/09/2013) | HK\$6.93  |
| Industrial and Commercial Bank of China (601398.SS) | E (09/19/2022) | Rmb7.50   |
| Industrial Bank Co. Ltd. (601166.SS)                | O (02/25/2019) | Rmb18.54  |
| Lufax (LU.N)                                        |                | US\$1.38  |
| Ping An Bank (000001.SZ)                            | O (05/07/2019) | Rmb11.03  |
| Postal Savings Bank of China Co Ltd (1658.HK)       | O (11/01/2016) | HK\$5.02  |
| Qifu Technology Inc (QFIN.O)                        | O (08/25/2020) | US\$14.27 |
| Shanghai Pudong Development Bank (600000.SS)        | E (08/05/2025) | Rmb9.37   |

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